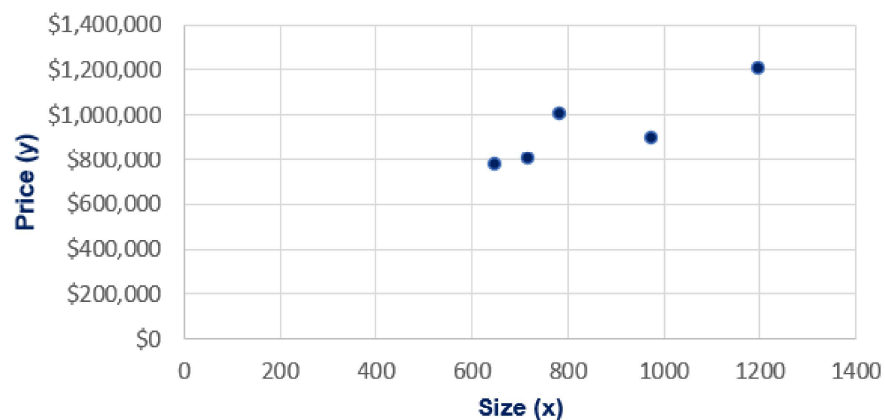


A B C D E F G H I J K L M N O

Covariance**Housing data**

	Size (ft.)	Price (\$)	$(x-\bar{x})*(y-\bar{y})$
6	650	772,000	34,776,000
7	785	998,000	- 5,265,000
8	1200	1,200,000	89,178,000
9	720	800,000	19,418,000
10	975	895,000	- 4,142,000
11	Mean	866	933,000
12	Sum		133,965,000
13	Sample size		5
14	Cov. Sample		33,491,250



Covariance is a way to measure how two different things that change together for example; the height of plants and the amount of watering they receive.

Positive covariance: The two things go up at the same time. The more hours you put in the better results you get

Negative covariance: The more time you put in A the less time you have for B

Zero covariance: A has not bearing on B

$$Cov(X, Y) = \frac{\sum (x_i - \bar{x})(y_i - \bar{y})}{n - 1}$$